DRAFT REVISED POLICY/10.16.2025

Board Policy 5.50.020-P: Defense and Indemnification of District Employees and Board Members

1. Purpose and Scope

The District recognizes that employees and Board members may face legal claims arising from their official duties. This policy establishes the District's commitment to defend and indemnify employees and Board members against qualifying claims and legal actions.

2. Covered Persons

This policy applies to current and former employees of the District, and current and former Board members.

3. Covered Actions

Subject to the limitations in this policy or applicable law, the District will provide defense and indemnification for:

a. any tort claim or demand, whether groundless or otherwise, arising out of an alleged act or omission occurring in the performance of official duties, to the fullest extent provided by the Oregon Tort Claims Act, ORS 30.260 to 30.300.

b. Federal enforcement actions, including but not limited to federal agency or Department of Justice investigations and proceedings, arising out of an alleged act or omission occurring in the performance of official duties.

4. Notice Requirements

Any covered person seeking assistance under this policy must promptly notify both the Office of the Superintendent and the Office of General Counsel when:

a. A covered action may be or has been commenced against them;

b. They receive notice of any investigation or inquiry; or

c. They become aware of circumstances that may reasonably lead to a covered action

Failure to provide timely notice may result in denial of defense and/or indemnification.

5. Defense and Indemnification

The District may provide liability insurance in amounts it determines to be appropriate for covered actions.

The District or its insurer will retain qualified counsel, in its sole discretion, to defend covered actions and may advance reasonable attorney fees and costs at a maximum rate determined by the District.

Defense and indemnification under this policy is conditioned on the covered person's full cooperation with the defense of the covered action. Non-cooperation may result in termination of defense and/or indemnification.

The District has authority to settle claims against covered persons for whom it is providing indemnification. A covered person may reject the settlement of a claim that would be approved by the District and for which the District would pay any settlement amounts, but such rejection shall terminate the District's defense and indemnification obligations under this policy.

6. District In-House Attorneys

a. For claims brought by governmental entities or professional licensing authorities against District in-house attorneys, expenses may be advanced or reimbursed if the District determines the claim arose from official duties. Any advancement or reimbursement constitutes part of the in-house attorney's official compensation package for purposes of ORS chapter 244.

b. Board Approval: Expenses exceeding $25,000 per claim require Board approval.

c. Advance Payment Conditions: Expenses may be paid in advance if:

    i. The District determines the attorney acted in good faith and reasonably believed the conduct was in the District's best interests

    ii. The attorney enters a written agreement to repay advances if ultimately not entitled to indemnification

d. Counsel Selection: When the District pays defense expenses, the District has exclusive authority to select counsel but will consult with the in-house attorney regarding settlement terms affecting the in-house attorneys legal rights or licensing status.

e. Cooperation Requirement: In-house attorneys must cooperate fully with the District. Non-cooperation may result in termination of defense and/or indemnification.

7. Limitations and Exclusions

The District, in its reasonable determination, will not provide defense or indemnification for:

a. Gross negligence
b. Malfeasance in office
c. Willful or wanton neglect of duty
d. Criminal conduct
e. Actions initiated by the District against, or actions brought by, a Covered Person
f. Personal matters or claims unrelated to official duties
g. Actions where defense or indemnification is prohibited by law

8. Definitions

"Claim" means any threatened, pending, or completed investigation, action, suit, or proceeding, except one brought by the District.

"Official duties" means actions taken within the scope of employment or Board service, in good faith, and for a District purpose.

9. Reservation of Rights and Non-Exclusivity

a. The District may provide defense and/or indemnification under a reservation of rights and may terminate coverage if circumstances warrant.

b. This policy does not limit other defense or indemnification rights available under statute, agreement, insurance, or District action.

Legal Reference: ORS 30.260 – 30.300 [20]

History: Adopted 6/1971; Amended 6/14/1984; 11/2021; [Current Amendment Date]